



1. Is price discrimination always good for producers and bad for consumers? Justify your answer. [25 marks]

2. '...given the activities with which it is involved, there are commercial and wider economic and social arguments against a body such as the MHPA being privatised' (The Global Context Extract B, lines 12–14).

Using the data and your economic knowledge, do you agree with the view that enterprises such as the MHPA should be privatised? Justify your answer.

[25 marks]



THE GLOBAL CONTEXT

Extract B: Diminishing returns and food production

The British political economist Thomas Malthus (1766-1834) argued that because cultivatable land is in fixed supply, food production is subject to the law of diminishing returns and cannot keep pace with population growth. Technological improvements and international trade have meant that his gloomy predictions of famine and drought have largely been avoided, certainly for industrialised countries like the UK. Now that the world has more than 6 billion people, predicted to rise to 9 billion by 2050, there is a worry once again that diminishing returns will set in. Some estimates suggest that the world's undernourished could soon number over a billion people.	1 5
Genetically modified (GM) crops are seen by some experts as providing a way around the problem of diminishing returns. Supporters of GM technology claim that by developing crops that are resistant to disease, drought, salty soil and flooding, more land can be cultivated and existing farmland used more efficiently. The result is improved agricultural productivity. They also claim that private goods like rice and tomatoes can be turned into merit goods by being modified to contain vaccines or cures for diseases.	10
Anti-GM groups have mounted high profile campaigns against what the media have called 'Frankenstein foods'. In response, the British frozen food chain Iceland decided that there was a competitive advantage in announcing that all of its products would aim to be GM-free and the major British supermarkets quickly followed. Meanwhile, the UK Government's official position is that it has an open mind, and that its priority is to protect human health and the environment while being 'pro-consumer choice'. In the USA, the 'choice' argument has been undermined by the view that foods containing GM products need not be labelled as such.	15 20
Can GM crops really guarantee 'food security'? Critics claim that a lack of spending power, not food supply, is the real problem, with poor people in failing economies often starving in front of full stores and granaries. They also claim that GM crops cause negative externalities. For instance, their pollen can contaminate the crops of nearby organic businesses. Also, most GM crops are developed for resistance to weed-killers and pesticides, and this encourages farmers to use more chemicals, killing wildlife and reducing biodiversity. Furthermore, there are fears that eating GM foods might have long-term risks to human health which have yet to be fully investigated.	25 30
Regulations in Europe are so strict that it costs a seed manufacturer at least ten times as much to develop a new GM crop than a conventional crop. This means that only big companies can afford to develop them. Globally, the American company Monsanto controls the seeds on over 80 per cent of the world area of planted GM crops. Furthermore, Monsanto bans 'seed saving'. It uses patent laws to sue farmers if they save seeds for planting, rather than buying new seeds every year.	35
Almost every single piece of evidence on each side of the debate is contested, making it difficult to judge whether GM crops will boost productivity to feed the world and create social benefits or cause market failure through monopoly, environmental damage and adverse side-effects on human health.	40

Source: news reports, 2008 / 9



4.

'On a typical train journey, there could be as many as twenty different fares being paid by passengers travelling between the same two stations.'

Using the concept of price discrimination to help you, explain how and why this might happen.

[15 marks]

5.

Many of the world's large companies, such as *Microsoft* and *Ryanair*, started out as small businesses.

Explain the different ways in which a firm can grow in size.

[15 marks]

6.

'The law of diminishing returns is an economic principle which will definitely operate at some point, whereas economies of scale are less certain.'

Evaluate the view that firms will always try to minimise their costs and maximise their revenues.

[25 marks]

7.

Explain the term 'price taker' **and** analyse the likely effects of an increase in the world demand for scrap metals on the output **and** profits of a scrap metal dealer (**The Global Context Extract B**, lines 1–4).

[9 marks]

8.

Using the data and your economic knowledge, evaluate the view that mergers, such as the one proposed between *British Airways* and *Iberia Airlines*, are usually 'good for consumers as well as for the companies involved' (**The European Union Context Extract D**, lines 22–23).

[25 marks]

Extract D: *British Airways and Iberia Airlines*

Until about twenty years ago, most European countries had at least one large 'national carrier' airline which was in public ownership. When airlines were privatised, there were fears that a state-owned monopoly would simply become a private monopoly. On some routes, de-regulation took some time and it was not until 2008 that the 'Open Skies' agreement sought to eliminate anti-competitive practices among airlines flying from Europe to North America. These anti-competitive practices included denying smaller airlines the opportunity to rent landing slots (landing spaces) at major airports.

In the face of greater competition from smaller, more innovative airlines such as *Virgin Atlantic* and the low-cost carriers such as *easyJet*, there has been increasing collaboration between some of the larger, traditional companies. *British Airways (BA)*, *Iberia Airlines (Spain)* and *American Airlines (AA)*, together with five other airlines, belong to *One World Alliance*, an arrangement which enables member airlines to sell seats on each other's flights.

With BA reporting a pre-tax loss of £401m in May 2009, its Chief Executive proposed a 'tie-up' with Iberia and AA which would come closer to a full-blown horizontal merger, enabling not only the marketing of flights but also joint pricing and a sharing of revenues. The proposal needed to be cleared by both EU and US anti-monopoly authorities, but it quickly failed when the European Union's Competition Commissioner objected, mainly on the grounds that it would raise prices and reduce consumer choice.

In October 2009, two European members of *One World Alliance*, *BA* and *Iberia*, tried again to reach a preliminary agreement for a full merger which they aimed to complete in late 2010. They claimed that a merger would be good for consumers as well as for the companies involved because duplicated European routes could be rationalised, while the routes operated in North America by *BA* and in South America by *Iberia* were complementary rather than competitive. The merger would need to be approved by the European Commission but there was a precedent because, in 2004, *Air France* was allowed to merge with Dutch airline *KLM*.

The merger between *BA* and *Iberia* would create Europe's biggest airline. Critics raised concerns about the new company's market share and claimed that *BA*'s dominance at Heathrow Airport would increase to even more than its existing 44% of landing slots. Meanwhile, both *BA* and *Iberia* workers were planning strikes over cost-cutting proposals and pay offers.

Source: news reports, 2009

10.

THE GLOBAL CONTEXT

Extract B: The recycling market

Scrap metal dealers are once again touring housing estates in their pick-up trucks obtaining steel and other metals from householders. Increased demand for steel and other metals on world markets has led to a change in the fortunes of these dealers, who are price takers.	1
Recycling has become a global activity. In 2009, with gold selling internationally at well over \$1000 an ounce, there were TV adverts from companies wanting to buy unwanted jewellery. A mobile phone also contains tiny traces of precious metals which can be extracted profitably from the millions of phones discarded each year. This is done at large processing centres, usually near sea ports, and much of the recovered material is exported to factories in China. The Olympic stadium in Beijing, China, was built almost entirely using recycled steel.	5 10
Germans, Scandinavians and Canadians are used to sorting their rubbish into different coloured bins. But instead of matching the recycling rates achieved in some countries, the UK still dumps many potentially useful materials. These include plastics, glass, paper and metals, which are buried in landfill sites partly because there are insufficient market incentives for recycling. The UK's strong reliance on landfill indicates the existence of widespread environmental market failure. Landfill creates greenhouse gases, threatens to pollute water sources and wastes scarce resources.	15
Some critics suggest that it would be better for the UK to aim at waste reduction, eliminating unnecessary packaging and other 'bads' at the production and retail stages. The UK pressure group <i>Waste Watch</i> also suggests more reuse, for example encouraging people to buy second-hand clothes from charity shops. However, other methods, such as returnable milk bottles, are in sharp decline.	20
There are now landfill taxes and regulations which provide incentives for recycling. Households could face the prospect of fines for breaking 'bin-bag rules'. However, this may lead to unintended consequences such as illegal dumping of waste. <i>Waste Watch</i> wants national targets and other policies to promote composting because, by weight, garden and kitchen waste make up the majority of material sent to landfill. <i>Waste Watch</i> also suggests increasing the landfill tax each year and extending it to cover incineration and other waste-disposal methods.	25 30
Recovery is a further option. In less developed countries, some homeless people live on city rubbish dumps making a living from what they can find and sell. In the UK, market conditions are such that the metal in a 2p coin is now actually worth 3p. Some experts even predict that within ten years it will be economic to excavate landfill sites to 'mine' the tin cans and other scrap materials that have been buried there.	

Source: news reports, 2009–10

11.

Assess the view that making an oligopolistic market more contestable is the best way to improve the efficiency of that market.

[25 marks]



- 12.** 'Oligopolistic markets, such as supermarkets or car manufacturing, can be defined in terms of market structure or in terms of market conduct (behaviour).'

Using examples of particular industries, explain this statement.

[15 marks]

- 13.** Discuss whether the objective of profit maximisation becomes less important than other possible objectives as a firm grows in size.

[25 marks]

- 14.** 'The European Union (EU) wishes to improve the mobility and flexibility of labour' (**The European Union Context Extract F**, line 6).

Evaluate the possible **costs** and **benefits** for the UK economy of the free movement of labour within the EU.

[25 marks]

- 15.** Explain the term 'Barriers to entry' (**The Global Context Extract B**, line 20) and analyse **two** ways in which technological change can affect entry into creative industries such as recorded music.

[9 marks]

- 16.** 'Although monopolies are generally regarded by economists as undesirable, legallybacked monopolies created by IPRs can be justified as being in the public interest' (**The Global Context Extract C**, lines 12 –14).

Evaluate the case for stronger action by governments to protect the monopoly power of firms involved in UK creative industries.

[25 marks]

- 17.** An oligopolistic firm is trying to decide on the selling price and output of its product, and is also considering colluding with other firms in the industry.

Evaluate policies which a UK government could use to control the activities of oligopolists.

[25 marks]

- 18.** 'Bigger is better.... Small is beautiful.... Size does not matter.'

Discuss whether large firms in the UK today are necessarily more efficient than small firms.

[25 marks]

19. THE GLOBAL CONTEXT

Extract C: The creative industries and intellectual property

The UK government regards the 'creative industries' as an important source of income and employment. This sector is defined as comprising 13 sub-sectors, including architecture, films, music, fashion, television and video games. The UK creative industries contribute nearly 8 % of annual Gross Domestic Product (roughly half the contribution of the manufacturing sector) and produce exports worth £10 bn (almost equal to oil industry exports). The creative sector is expected to grow at twice the rate of the rest of the economy between now and 2013. 1 5

The main distinguishing feature of a 'creative' industry is that it depends on intellectual property rights (IPRs). These include copyrights (e.g. for music, literature, art works and films), trademarks, patents, industrial design rights and trade secrets. In effect, IPRs enable creative people and businesses to enjoy a degree of monopoly power. This is strongest when IPRs are enforced throughout the world. Although monopolies are generally regarded by economists as undesirable, legally-backed monopolies created by IPRs can be justified as being in the public interest. 10

Source: news reports, 2008–9

20. THE GLOBAL CONTEXT

Extract B: Technological change and the recorded music industry

Technological change presents both threats and opportunities to the global music industry. Around the world in 2008, 1.4 billion song tracks were legally downloaded to computers and paid for over the internet. However, an estimated 40 billion tracks (over 95% of music downloads) were obtained illegally. From the point of view of people sharing and using these tracks, new technology has changed recorded music into a form of public good. To stay in business, record companies and retailers have to find ways of selling recorded music to people who do not want to pay because people expect everything on the internet to be free. Some politicians and industry representatives want to use the force of law to punish the people who download illegally, while some businesses, such as satellite broadcasters and computer games developers, appear to be using technology successfully in order to sell to paying customers and exclude 'free riders'. For example, *BSkyB* subscribers are sent a decoder card so they can access programmes. 1 5 10

While *iTunes* and others have had great success in selling downloads, CD sales are still important for on-line retailers like *Amazon*, traditional high street music stores such as *HMV* and *Virgin* and the large supermarkets. These sellers of music in physical format are taking on the new digital competition with aggressive pricing, persuasive TV advertising and differentiated products such as special edition CD box sets. 15

Many new and established artists have used the internet to their advantage. It is possible to record a song in a bedroom, place a clip on *YouTube* and go on to sell to a global market. Barriers to entry have changed and the music industry as a whole has to be creative to compete in new ways that build upon legal downloading and the on-line selling of CDs. 20

Source: news reports, 2008–9

21. Evaluate whether profit maximisation is always the most important objective of firms.

[25 marks]



22.

An oligopolistic firm is trying to decide on the selling price and output of its product, and is also considering colluding with other firms in the industry.

Explain why oligopolistic firms are affected by both interdependence and uncertainty when selling their product.

[15 marks]

23.

'A pharmaceutical company can expect to make supernormal profits on a new drug or medicine in the short run.'

Explain why some firms might be able to **continue** to make supernormal profits in the **long run**.

[15 marks]

24.

Evaluate the view that, providing there is market contestability, government intervention to ensure competition is unnecessary.

[25 marks]

25.

Explain why competition might lead to **both** productive efficiency **and** allocative efficiency.

[15 marks]